# Data Exploration Assignment

## Introduction

Walmart is interested in understanding whether temperature affects weekly sales at their stores. With average temperatures rising over time, understanding this relationship is important for business planning. I use panel data from 45 Walmart stores observed weekly from February 2010 through October 2012 to answer the research question: **Do higher temperatures causally affect sales?**

I find that temperature does affect sales, but the relationship is non-linear. Sales are maximized at moderate temperatures around 64 degrees fahrenheit. Both very cold weather and very hot weather are associated with lower sales compared to this optimal temperature. This inverted-U relationship is statistically significant and suggests that extreme temperatures deter shopping.

## Data

The dataset contains weekly sales data from 45 Walmart stores spanning approximately 2.7 years. Each observation includes weekly sales (in dollars), average temperature (Fahrenheit), a holiday indicator, and economic variables including unemployment rate, fuel prices, and the Consumer Price Index (CPI).

```r
#Load libraries and data
library(tidyverse)
```

```
Warning: package 'lubridate' was built under R version 4.5.2

-- Attaching core tidyverse packages ------------------------ tidyverse 2.0.0 --
v dplyr     1.1.4     v readr     2.1.5
v forcats   1.0.1     v stringr   1.5.2
```

```
v ggplot2   4.0.0     v tibble    3.3.0
v lubridate 1.9.5     v tidyr     1.3.1
v purrr     1.1.0
-- Conflicts ------------------------------------------ tidyverse_conflicts() --
x dplyr::filter() masks stats::filter()
x dplyr::lag()    masks stats::lag()
i Use the conflicted package (<http://conflicted.r-lib.org/>) to force all conflicts to becom
```

```r
library(lubridate)
library(fixest)
```

```
Warning: package 'fixest' was built under R version 4.5.2
```

```r
walmart <- read_csv("Walmart_Sales.csv")
```

```
Rows: 6435 Columns: 8
-- Column specification --------------------------------------------------------
Delimiter: ","
chr (1): Date
dbl (7): Store, Weekly_Sales, Holiday_Flag, Temperature, Fuel_Price, CPI, Un...

i Use `spec()` to retrieve the full column specification for this data.
i Specify the column types or set `show_col_types = FALSE` to quiet this message.
```

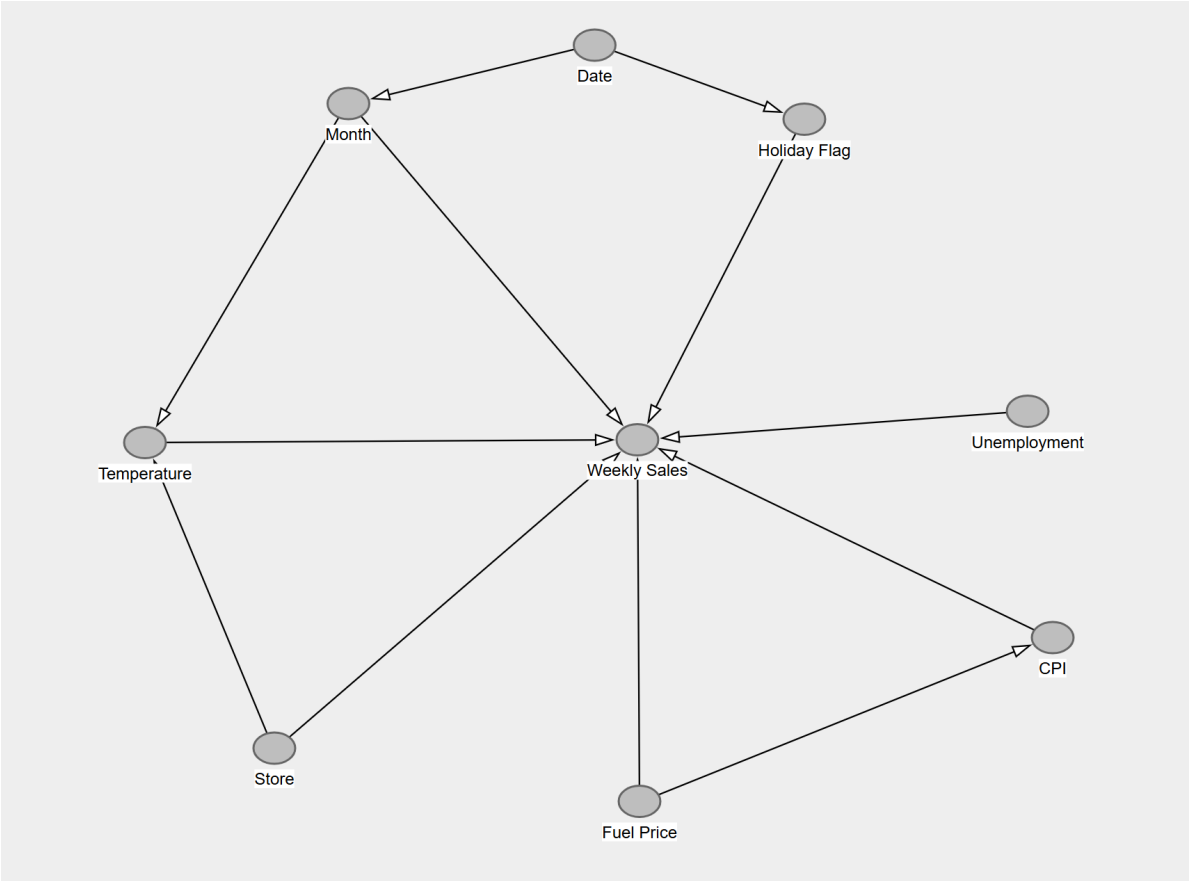
```r
#Convert dates and create month variable
walmart <- walmart %>% mutate(Date = dmy(Date), Month = month(Date))

#Look at summary statistics
summary(walmart)
```

```
     Store          Date              Weekly_Sales      Holiday_Flag
 Min.   : 1   Min.   :2010-02-05   Min.   : 209986   Min.   :0.00000
 1st Qu.:12   1st Qu.:2010-10-08   1st Qu.: 553350   1st Qu.:0.00000
 Median :23   Median :2011-06-17   Median : 960746   Median :0.00000
 Mean   :23   Mean   :2011-06-17   Mean   :1046965   Mean   :0.06993
 3rd Qu.:34   3rd Qu.:2012-02-24   3rd Qu.:1420159   3rd Qu.:0.00000
 Max.   :45   Max.   :2012-10-26   Max.   :3818687   Max.   :1.00000
  Temperature       Fuel_Price          CPI          Unemployment
 Min.   : -2.06   Min.   :2.472   Min.   :126.1   Min.   : 3.879
 1st Qu.: 47.46   1st Qu.:2.933   1st Qu.:131.7   1st Qu.: 6.891
```

```
 Median : 62.67   Median :3.445   Median :182.6   Median : 7.874
 Mean   : 60.66   Mean   :3.359   Mean   :171.6   Mean   : 7.999
 3rd Qu.: 74.94   3rd Qu.:3.735   3rd Qu.:212.7   3rd Qu.: 8.622
 Max.   :100.14   Max.   :4.468   Max.   :227.2   Max.   :14.313
     Month
 Min.   : 1.000
 1st Qu.: 4.000
 Median : 6.000
 Mean   : 6.448
 3rd Qu.: 9.000
 Max.   :12.000
```

The data contains 6,435 observations across 45 stores. Average weekly sales are about $1.05 million, with substantial variation (ranging from $210,000 to $3.8 million). Temperatures range from -2 degrees to 100 degrees, with a mean of 61 degrees.

## Identification Strategy and Causal Diagram




To identify the causal effect of temperature on sales, I need to address confounding. My causal diagram shows the key challenges:

**Main Back Door Paths:**

1. **Temperature ← Month → Weekly Sales**: Both temperature and sales vary by season. December has cold weather and high holiday sales. August has hot weather and back to school shopping. Without controlling for month, I would confuse seasonal shopping patterns with temperature effects.

2. **Temperature ← Store → Weekly Sales**: Stores are located in different geographic areas with different climates. A store in Arizona has consistently high temperatures and may have different customer demographics than a store in Minnesota with consistently low temperatures. This creates a false correlation between temperature and sales.

To close these back doors, I use store fixed effects and month fixed effects. Store fixed effects control for all time-invariant characteristics of each store, including geographic location, store

size, customer demographics, and management quality. Month fixed effects control for seasonal shopping patterns that repeat each year.

This identification strategy means I'm estimating the effect of temperature by comparing the same store to itself in the same month across different years. For example, I compare Store 1 in July 2010 (when it was 85 degrees) to Store 1 in July 2011 (when it was 75 degrees). This within-store, within-month variation isolates the temperature effect from confounders.

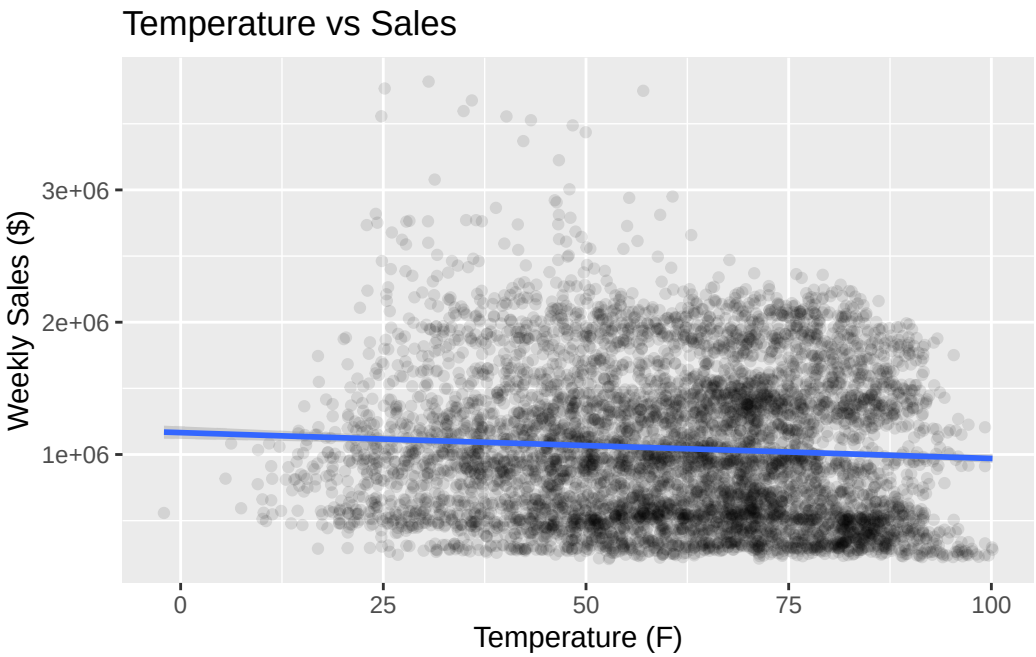
I also control for time-varying economic conditions (unemployment, fuel prices, CPI) and holiday weeks. Standard errors are clustered by store to account for correlation of observations within the same store over time.

### Exploratory Analysis

Before running regressions, I examine the relationship between temperature and sales visually.

```
#Create a scatter plot for Temperature vs Sales
ggplot(walmart, aes(x = Temperature, y = Weekly_Sales)) +
  geom_point(alpha = 0.1) +
  geom_smooth(method = "lm") +
  labs(title = "Temperature vs Sales", x = "Temperature (F)", y = "Weekly Sales ($)")
```

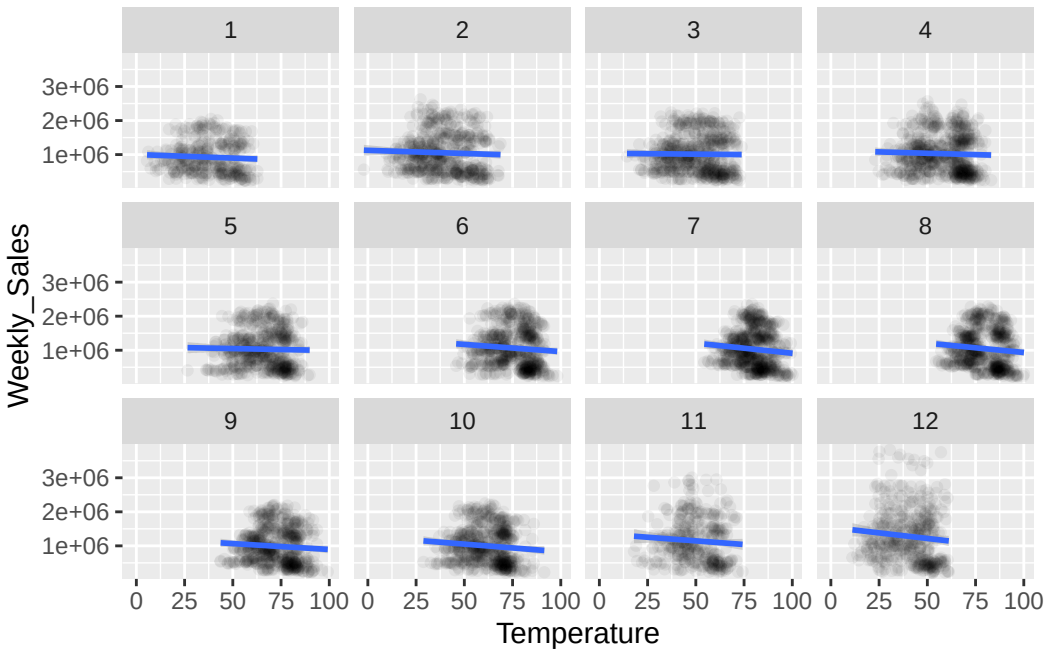
```
`geom_smooth()` using formula = 'y ~ x'
```




The first scatter splot shows the raw relationship between temperature and sales. There appears to be a positive relationship, but this doesn't account for confounding from seasonality or store characteristics. The wide scatter indicates substantial variation in sales at any given temperature.

```
#Create a scatter plot of temperature vs sales by month
ggplot(walmart, aes(x = Temperature, y = Weekly_Sales)) + geom_point(alpha = 0.05) + geom_smo
```

```
`geom_smooth()` using formula = 'y ~ x'
```




The second scatter plot shows the relationship separately for each month. This helps visualize the within-month variation that my fixed effects model will use. The relationship appears relatively consistent across months, though some months show higher overall sales regardless of temperature, confirming the importance of month fixed effects.

### Regression Analysis

I estimate two models to test whether the temperature effect is linear or non-linear.

```
#Run a linear regression model using fixed effects for store and month
m1 <- feols(Weekly_Sales ~ Temperature + Holiday_Flag + Unemployment + Fuel_Price + CPI | Sto
```

```
#Look at results of the regression
summary(m1)
```

```
OLS estimation, Dep. Var.: Weekly_Sales
Observations: 6,435
Fixed-effects: Store: 45,  Month: 12
Standard-errors: Clustered (Store)
               Estimate Std. Error   t value   Pr(>|t|)
Temperature     695.600    317.868  2.188334 3.3998e-02 *
Holiday_Flag  32288.759   5577.607  5.788999 6.8859e-07 ***
```

```
Unemployment -31738.884  11427.153 -2.777497 8.0204e-03 **
Fuel_Price   -25336.711  12909.272 -1.962675 5.6026e-02 .
CPI             907.019   2390.606  0.379410 7.0621e-01
---
Signif. codes:  0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1
RMSE: 141,232.0     Adj. R2: 0.936776
                  Within R2: 0.017879
```

```
#Check to see if the relationship between temperature and sales is non-linear using a quadrat
walmart <- walmart %>% mutate(Temperature_sq = Temperature^2)
```

```
#Run model with temperature and temperature^2
m2 <- feols(Weekly_Sales ~ Temperature + Temperature_sq + Holiday_Flag + Unemployment + Fuel_
```

```
#Look at results of the second regression
summary(m2)
```

```
OLS estimation, Dep. Var.: Weekly_Sales
Observations: 6,435
Fixed-effects: Store: 45,  Month: 12
Standard-errors: Clustered (Store)
                  Estimate Std. Error   t value   Pr(>|t|)
Temperature      3413.4866  1191.8668  2.863983 6.3877e-03 **
Temperature_sq    -26.6719    11.1481 -2.392502 2.1070e-02 *
Holiday_Flag    34530.0906  5935.2261  5.817822 6.2474e-07 ***
Unemployment   -32958.8791 11242.3041 -2.931684 5.3315e-03 **
Fuel_Price     -24477.8977 12779.1862 -1.915450 6.1948e-02 .
CPI               542.0214  2351.8792  0.230463 8.1880e-01
---
Signif. codes:  0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1
RMSE: 140,962.8     Adj. R2: 0.937007
                  Within R2: 0.021619
```

```
#Compare linear and quadratic models
etable(m1, m2)
```

```
                                   m1                      m2
Dependent Var.:           Weekly_Sales            Weekly_Sales

Temperature             695.6* (317.9)    3,413.5** (1,191.9)
Holiday_Flag     32,288.8*** (5,577.6)  34,530.1*** (5,935.2)
```

```
Unemployment    -31,738.9** (11,427.2) -32,958.9** (11,242.3)
Fuel_Price       -25,336.7. (12,909.3)  -24,477.9. (12,779.2)
CPI                    907.0 (2,390.6)        542.0 (2,351.9)
Temperature_sq                                -26.67* (11.15)
Fixed-Effects:  ---------------------- ----------------------
Store                              Yes                    Yes
Month                              Yes                    Yes
--------------- ---------------------- ----------------------
S.E.: Clustered              by: Store              by: Store
Observations                     6,435                  6,435
R2                             0.93737                0.93760
Within R2                      0.01788                0.02162
---
Signif. codes: 0 '***' 0.001 '**' 0.01 '*' 0.05 '.' 0.1 ' ' 1
```

**Linear Model**: In the linear specification, a 1°F increase in temperature is associated with a $696 increase in weekly sales ($p = 0.034$). This coefficient is statistically significant at the 5% level. However, this assumes the effect is constant at all temperature levels, which may not be realistic.

**Quadratic Model**: The quadratic model shows important non-linearity. The Temperature coefficient is 3,414 ($p = 0.006$) and the Temperature$^2$ coefficient is -26.67 ($p = 0.021$). Both coefficients are statistically significant. The negative coefficient on Temperature$^2$ indicates an inverted-U relationship - the marginal effect of temperature decreases as temperature increases.

**Control Variables**: - Holiday weeks have approximately $32,000-35,000 higher sales (highly significant) - Higher unemployment reduces sales by about $32,000 per percentage point increase ($p < 0.01$) - Higher fuel prices are associated with lower sales (marginally significant, p 0.06) - CPI is not statistically significant once other economic variables are controlled for

**Model Fit**: The quadratic model fits slightly better as the $R^2$ goes from 0.937 to 0.938, and the within-$R^2$ increases from 0.018 to 0.022. The high overall $R^2$ shows that store and month fixed effects explain most of the variation, while the within-$R^2$ shows that temperature and other time-varying factors explain about 2% of the remaining variation of the Optimal Temperature

For a quadratic function, the peak occurs where the slope equals zero. For my quadratic model this happens at temperature = -b1/(2*b2) which equals 64 degrees.

```r
#Calculate where sales peak by calculating: Maximum of Y = b1*X + b2*X^2 occurs at X = -b1/(2
b1 <- coef(m2)["Temperature"]
b2 <- coef(m2)["Temperature_sq"]
```

```r
peak <- -b1 / (2 * b2)
cat("Sales peak at", round(peak, 1), "degrees F\n")
```

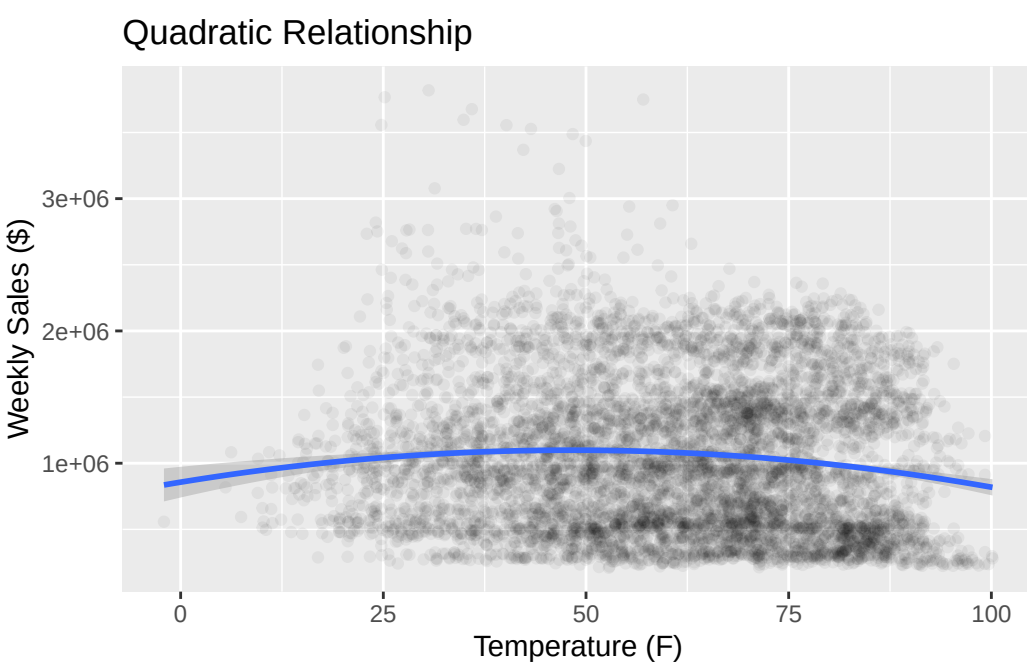
```
Sales peak at 64 degrees F
```

Sales are maximized at 64 degrees. This me**ans:**

- Below 64 degrees: Warmer weather increases sales. Moving from 50 degrees to 64 degrees increases sales.
- At 64 degrees: Sales reach their maximum.
- Above 64 degrees: Warmer weather decreases sales. Moving from 80 degrees to 64 degrees would increase sales.

This makes economic sense. Very cold weather may discourage shopping trips, while very hot weather may lead people to stay indoors in air conditioning or shift shopping to different times of day.

```r
#Plot the quadratic relationship
ggplot(walmart, aes(x = Temperature, y = Weekly_Sales)) + geom_point(alpha = 0.05) + stat_sm
```




The quadratic model visualizes the fitted quadratic relationship. The inverted-U curve clearly shows sales peaking at moderate temperatures and declining at both extremes.

### Interpretation

```
#Check model fit by comparing R-squared values to see how much variance each model explains
fitstat(m1, 'r2')
```

```
R2: 0.937366
```

```
fitstat(m2, 'r2')
```

```
R2: 0.937604
```

**Statistical Significance**: The Temperature$^2$ coefficient has a p-value of 0.021, providing strong evidence of non-linearity. I reject the null hypothesis that the relationship is purely linear.

**Economic Magnitude**: The effects are economically meaningful. Based on the quadratic model: - Moving from 50 degrees to the optimal 64 degrees increases weekly sales by approximately $29,000 - Moving from 80 degrees to the optimal 64 degrees increases weekly sales by approximately $20,000 - A 10-degree deviation from optimal temperature reduces sales by roughly $10,000-15,000 per week

**Why I Chose This Model**: I tested the quadratic specification because it seemed plausible that extreme temperatures (both hot and cold) might deter shopping. The statistically significant Temperature$^2$ coefficient and improved model fit confirm this intuition was correct. The graph showing the relationship by month also suggested some curvature rather than a purely linear pattern.

### Conclusion

This analysis provides strong evidence that temperature causally affects Walmart sales in a non-linear way. Using store and month fixed effects to control for confounding, I find that sales are maximized at moderate temperatures around 64 degrees, with both colder and hotter weather leading to reduced sales.

**For Walmart Decision Makers**:

1. **Temperature matters for sales**: A 10 degree change from the optimal temperature can reduce weekly sales by $10,000-15,000 per store. This is a meaningful impact on revenue.

2. **Regional performance differences**: Stores in consistently extreme climates (very hot Southwest or very cold Northern states) may underperform relative to stores in temperate regions. This should be considered when evaluating store performance and setting sales targets.
3. **Seasonal planning**: Peak sales temperatures occur in spring and fall months. The temperature effect helps explain why sales patterns vary across seasons beyond just holiday effects.

**Limitations**: This analysis cannot separate temperature from other weather conditions like rain or humidity. The effect identified represents the total impact through all mechanisms - reduced foot traffic, changed shopping times, and altered purchasing behavior. Additionally, this analysis uses data from 2010-2012; consumer behavior may have changed with increased online shopping adoption.

**Bottom Line**: Temperature is not just a weather variable - it has a real, measurable impact on Walmart's business. Stores experiencing unusual temperature patterns should not be penalized in performance evaluations, and temperature forecasts could inform promotional planning and staffing decisions.